

# Session 2.3: Advanced Monetization Models

Take rates, fee restructuring, seller rent extraction, and Etsy marketplace economics.

PART 1 (LECTURE)  
**60 Minutes**

PART 2 (LAB PRACTICE)  
**60 Minutes**

PART 3 (EXECUTIVE MEMO)  
**60 Minutes**

STANDARD  
**Audited SEC Filings**

# Learning Objectives & Executive Overview

Clear conceptual grounding for undergraduate and graduate business students.

## CORE COMPETENCIES

### Goals

### What You Will Master Today

- **Theoretical Mastery:** Evaluate seminal literature and analytical frameworks governing platform competition.
- **Empirical Rigor:** Reconcile management strategic claims with legally audited statutory filings.
- **Data Modeling:** Execute spreadsheet calculations with explicit coordinates and formula logic.
- **Executive Formulation:** Deliver structured board-level recommendations resolving complex trade-offs.

## TAKE RATE ARCHITECTURE

### Vocabulary

### Key Topical Foundations

- **Pigou Price Discrimination::** 1st, 2nd, and 3rd degree tiering structures.
- **Platform Rent Extraction::** Balancing take rates without seller defection.
- **Fee Components::** Transaction fees, listing fees, and value-added services.
- **Micro-Examples::** eBay final value fee,  Spotify freemium, AWS tiered compute.

# Theoretical Foundations: Take Rate Architecture

Rigorous analytical frameworks and literature benchmarks.

THEORETICAL ARCHITECTURE

Literature

## Seminal Framework Insights

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STRATEGIC APPLICATION

Analysis

## Business Model Mechanics

- *Fee Hikes (2018-2023)::* Transaction fee raised from 3.5% to 5.0% to 6.5%.
- *Seller Resistance::* Artisan strikes and disintermediation risks.
- *Marketing Justification::* Using fee increases to fund expanded buyer acquisition.
- *Ecosystem Stability::* GMS held stable while service revenues expanded.

STRATEGIC TAKEAWAY

Take rates, fee restructuring, seller rent extraction, and Etsy marketplace economics.

# Seminal Literature & Economic Mechanics

Governing economic dynamics, externalities, and platform governance models.

## ECONOMIC EXTERNALITY

Model

### Network Externalities & Market Tipping

- **Positive Feedback Loops:** Adoption utility accelerates quadratically as the complementary user base expands.
- **Two-Sided Subsidization:** Balancing prices between money-side and subsidy-side to catalyze cross-network participation.
- **Multi-Homing Frictions:** Users and suppliers incurring setup and cognitive costs when operating across competing platforms.
- **Governance Standards:** Programmatic rules and interface contracts mitigating opportunistic market behavior.

## STRATEGIC LEVER

Ecosystem Dynamics

### Platform Architecture Mechanics

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# Strategic Showdown: Incumbent Architecture vs. Platform Ecosystem

Contrasting capital-intensive linear controls with scalable ecosystem orchestration.

LINEAR INCUMBENT MODEL

Physical Pipeline

## Controlled Capacity & Heavy CapEx

- **Proprietary Asset Ownership:** Firms fund physical plant, equipment, and inventories directly on balance sheet.
- **Gatekeeper Curation:** Central corporate management manually selects products, vendors, and services.
- **Supply Chain Bottlenecks:** Expansion speed is strictly constrained by capital expenditure budgets and construction lead time.
- **Linear Economics:** Revenue growth requires proportional expansion in headcount and physical fixed assets.

PLATFORM ECOSYSTEM MODEL

Software Orchestrator

## Algorithmic Matching & Asset-Light Scale

- **Externalized Production:** Community participants supply physical capital, labor, and distributed inventory.
- **Algorithmic Governance:** Two-way reputation systems and automated matching replace physical gatekeepers.
- **Zero Marginal Cost Expansion:** Adding new marketplace participants requires lines of code rather than land acquisition.
- **Exponential Leverage:** Transaction volume accelerates rapidly while corporate headcount remains tightly bounded.

CORE STRATEGIC DISPARITY

Pipelines compete by optimizing internal operations and erecting proprietary barriers. Platforms compete by orchestrating external ecosystems and minimizing friction across bilateral exchanges.

# Case Showdown: Etsy Fee Restructuring

Historical case evidence and multi-year corporate trajectory confrontation.

CORPORATE DYNAMICS

Timeline & Strategy

## Strategic Positioning

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ANALYTICAL FINDINGS

Empirical Evidence

## Operational & Financial Results

- *Etsy 10-K Data::* GMS, Marketplace Revenue, Optional Services Revenue.
- *Pure Take Rate::* Marketplace Revenue / GMS (=C2/B2\*100).
- *Total Take Rate::* Total Revenue / GMS (=E2/B2\*100).
- *Hidden Leverage::* Total take rate rose from 15.4% (2018) to 20.9% (2023).

AUDITED CASE CONCLUSION

Take rates, fee restructuring, seller rent extraction, and Etsy marketplace economics.

# Executive Dilemma: Executive Lab

Framing complex management dilemmas and evaluating corporate trade-offs.

EXECUTIVE CHALLENGE

Strategic Tension

## Corporate Strategic Tension

- *Extraction vs. Volume::* Risks of growing revenue while GMS slightly contracts.
- *Disintermediation Defense::* Tools keeping buyers & sellers inside platform.
- *Artisan Governance::* Two policies ensuring sellers perceive fair value.
- *Executive Memo::* Sustainable take rate ceiling and value-creation roadmap.

EVALUATION RUBRIC

Requirements

## Board-Level Deliverable

- *Actionable Recommendation:* Formulate a concrete 3-bullet decision brief for senior leadership.
- *Quantitative Defense:* Support recommendations using audited financial metrics from the lab spreadsheet.
- *Risk Mitigation:* Address channel friction, partner resistance, or competitive retaliation.
- *Implementation Timeline:* Define immediate 90-day execution milestones.

# Lab Transition: 120-Minute Hands-On Execution

Transitioning from lecture observation to hands-on data manipulation and strategic decision-making.

## EXERCISE 1: FOUNDATIONAL PRACTICE

60 Min Lab

### Applied Excel Lab

Hands-on spreadsheet protocol using audited historical numbers:

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## EXERCISE 2+: ADVANCED PROBLEM SOLVING

60 Min Memo

### Executive Lab

Applied scenario analysis, trade-off evaluation, and executive brief:

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- **Executive Memo::** Sustainable take rate ceiling and value-creation roadmap.